

INSTRUCTIONAL AREA
Risk Management

BUSINESS FINANCE SERIES EVENT

PARTICIPANT INSTRUCTIONS

(quoted directly from DECA, INC)

- "This event is presented to you through your review of the Career Competencies, Performance Indicators and Event Situation."
- "You have up to 10 minutes to review this information and prepare your presentation. Using the materials provided, you may make notes to use during your presentation."
- "You will have up to 10 minutes to present to the judge(s)."
- "You will be evaluated on your solution to the event situation, how you incorporate the performance indicators of this event and how you demonstrate the career competencies."
- "Turn in all your notes and event materials when you have completed the event."

SOLUTION

- Unique – Demonstrate original thinking, fresh perspectives and an insightful approach.
- Practical – Develop an actionable/viable solution in a real-world context.
- Effective – Develop a solution that achieves relevant outcomes.

CAREER COMPETENCIES

- Critical Thinking – Think critically to understand and solve problems.
- Communication – Communicate clearly, effectively and with reason.
- Decision Making – Consider the impacts of decisions.

PERFORMANCE INDICATORS

1. Identify financial risk factors associated with business contracts (e.g., ratio requirements, restricted transactions, financial report filing requirements).
2. Monitor for breach of contract of non-performance related terms and conditions.
3. Maintain contract compliance documentation.
4. Develop monitoring programs for restrictive contract requirements.
5. Employ communication styles appropriate to target audience.

EVENT SITUATION

You are to assume the role of the finance manager at BOWTIE BAKERY & COFFEE, a regional coffee shop and bakery with a coffee shop and distribution to 400 stores. Two years ago, Bowtie Bakery & Coffee took a $4 million bank loan to expand its operations. The loan agreement includes the following requirements:

- Current ratio must stay at or above 1.50
- Debt-to-equity ratio must stay at or below 2.00
- Quarterly financial statements must be sent to the bank within 45 days of the end of each quarter
- No sale of company assets worth more than $250,000 without the bank's written approval

The company's latest numbers: current assets of $1,944,000; current liabilities of $1,200,000; total liabilities of $5,100,000; and owner's equity of $2,600,000. Last quarter's financial statements reached the bank 52 days after the quarter ended.

The owner (judge) has two plans for next month: sell the old operations line for $300,000 and borrow another $150,000 on the company's long-term equipment loan to buy a new one. The owner (judge) started the company as a coffee roaster, not a finance person, and wants a clear explanation of whether these plans could cause problems with the bank and how the company should keep track of its loan requirements going forward.

You will meet with the owner (judge) in the bakery office. The owner (judge) will begin the role-play by greeting you and asking to hear your thoughts. After you have presented your information and answered the owner's (judge's) questions, the owner (judge) will conclude the role-play by thanking you for your work.

Possible Judge's Questions:

1. What could the bank actually do if we break one of these rules?
2. Who in the company should be responsible for tracking all of this, and how often?

	Did the participant:	Novice	Developing	Proficient	Exemplary	Judged Score
PERFORMANCE INDICATORS						
1.	Identify financial risk factors associated with business contracts (e.g., ratio requirements, restricted transactions, financial report filing requirements)?	0-1-2-3	4-5-6	7-8-9	10	
2.	Monitor for breach of contract of non-performance related terms and conditions?	0-1-2-3	4-5-6	7-8-9	10	
3.	Maintain contract compliance documentation?	0-1-2-3	4-5-6	7-8-9	10	
4.	Develop monitoring programs for restrictive contract requirements?	0-1-2-3	4-5-6	7-8-9	10	
5.	Employ communication styles appropriate to target audience?	0-1-2-3	4-5-6	7-8-9	10	
SOLUTION						
4.	**Accurate** Demonstrate appropriate finance acumen.	0-1-2	3-4-5	6-7	8	
5.	**Practical** Develop an actionable/viable solution in a real-world context.	0-1-2	3-4-5	6-7	8	
6.	**Effective** Develop a solution that achieves relevant outcomes	0-1-2	3-4-5	6-7	8	
CAEREER COMPETANCIES						
7.	**Critical Thinking** Think critically to understand and solve problems	0-1	2-3	4-5	6	
8.	**Communication** Communicate clearly, effectively and with reason.	0-1	2-3	4-5	6	
9.	**Decision Making** Consider the impacts of decisions.	0-1	2-3	4-5	6	
OVERALL IMPRESSIONS						
10.	Demonstrate overall career readiness through professionalism, poise and confidence.	0-1-2	3-4-5	6-7	8	
					TOTAL SCORE	

Judge notes: a strong response covers

- Calculations: current ratio = $1,944,000 ÷ $1,200,000 = 1.62 (meets 1.50, but with little room). Debt-to-equity = $5,100,000 ÷ $2,600,000 = 1.96 (just under 2.00).
- Borrowing $150,000 more on the long-term loan: $5,250,000 ÷ $2,600,000 = 2.02, which breaks the 2.00 limit.
- Selling the canning line for $300,000 is over the $250,000 limit, so it needs the bank's written approval first.
- The 52-day filing already broke the 45-day reporting term: a non-performance breach even though payments are current. Fix: tell the bank, set an internal deadline (e.g., day 35).
- Monitoring program: a covenant calendar, monthly ratio checks with warning levels (e.g., current ratio below 1.60), one person responsible, and a file holding the loan agreement, amendments, filings, and bank approvals.
- Communication: plain language and simple comparisons for an owner without a finance background; avoids jargon or explains it.